AbbVie Inc. [ABBV]

2013-01-02, Stalwart

Analysis Report

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Contents

1. Core Business Segments

A global biopharmaceutical company primarily focused on immunology, neuroscience, oncology, and aesthetics, which account for 49.7%, 17.6%, 10.9%, and 7.9% of total revenue, respectively.

1-1. Immunology

1) Skyrizi: A biologic therapy that inhibits the IL-23 pathway involved in immune responses. Its major indications include autoimmune and inflammatory diseases such as psoriasis, psoriatic arthritis, Crohn's disease, and ulcerative colitis. From an investment perspective, it is the largest revenue driver in ABBV's immunology segment after Humira.

2) Rinvoq : It is an oral treatment for immune-mediated diseases, with major indications including rheumatoid arthritis, psoriatic arthritis, ankylosing spondylitis, atopic dermatitis, ulcerative colitis, and Crohn's disease.

3) Humira : It is a biologic therapy in the TNF-α inhibitor class. It was ABBV's largest product, used for various immune-mediated diseases such as rheumatoid arthritis, psoriatic arthritis, ankylosing spondylitis, Crohn's disease, ulcerative colitis, and psoriasis. After the end of patent exclusivity, it entered a competitive market environment, leading to a deterioration in profitability.

1-2. Neuroscience (17.6%)

1) Botox Therapeutic : It is a therapeutic product separate from cosmetic use and is used for neurological and muscular disorders. Representative treatment areas include chronic migraine, cervical dystonia, muscle spasticity, and overactive bladder.

2) Vraylar : It is an atypical antipsychotic drug. According to its official prescribing information, it is used for schizophrenia, manic or mixed episodes associated with bipolar I disorder, depressive episodes associated with bipolar disorder, and adjunctive therapy for major depressive disorder in adults.

3) Ubrelvy : It is an acute migraine treatment used for the acute treatment of migraine with or without aura in adults.

4) Qulipta : It is a preventive migraine treatment used for the preventive treatment of migraine in adults.

2. M&A History

Year	Company Name	Cost(B$)	Field
2015	**Pharmacyclics**	**21.0**	**Oncology**
2016	Stemcentrx	5.8 + max 4.0	Oncology
2020	**Allergan**	**63.0**	**Aesthetics**
2021	Soliton	0.55	Aesthetics
2024	**ImmunoGen**	**9.8**	**Oncology**
2024	Landos Biopharma	0.21	Immunology
2024	Celsius Therapeutics	0.25	Immunology
2024	**Cerevel Therapeutics**	**8.7**	**Neuroscience**
2024	Aliada Therapeutics	1.4	Neuroscience
2025	Nimble Therapeutics	0.288	Immunology
2025	Capstan Therapeutics	max 2.1	Immunology
2025	Gilgamesh의 bretisilocin	1.9	Neuroscience
2026	**Apogee Therapeutics**	**10.9**	**Immunology**

[M&A table]

Before 2021, ABBV primarily acquired companies in oncology and aesthetics; after 2021, it focused on acquiring companies in immunology and neuroscience.

2-1. Acquisition Purpose

1) 2020 **Allergan** Acquisition

: ABBV carried out the acquisition to secure Botox, Juvederm, ophthalmology, and neuroscience products and reduce its dependence on Humira.

2) 2015 **Pharmacyclics** Acquisition

: The acquisition was aimed at securing the blood cancer treatment Imbruvica and was central to expanding the oncology business, although its revenue growth later slowed.

3) 2026 **Apogee Therapeutics** Acquisition

: ABBV is currently pursuing the acquisition to secure next-generation immune-disease candidates after Skyrizi and Rinvoq, strengthening its immunology pipeline.

4) 2024 **ImmunoGen** Acquisition

: ABBV carried out the acquisition to strengthen its next-generation oncology portfolio, securing the ovarian cancer ADC therapy Elahere and an ADC platform.

5) 2024 **Cerevel** Therapeutics Acquisition

: ABBV acquired Cerevel Therapeutics to secure its neuroscience pipeline.

3. Failed Business and Pipeline Analysis

3-1. Rova-T (Oncology)

In 2016, AbbVie acquired Stemcentrx for approximately $6.4 billion, securing Rova-T, a small-cell lung cancer treatment candidate. However, as Rova-T's clinical results fell short of expectations, its likelihood of approval declined, and in 2018, AbbVie recognized approximately $5.1 billion in pre-tax ***impairment charge**s. AbbVie subsequently discontinued the pipeline, while maintaining its oncology business around other products such as Imbruvica, Venclexta, Elahere, and Epkinly.

3-2. Emarclidine (NueroScience)

In 2024, AbbVie acquired Cerevel Therapeutics for approximately $8.7 billion to strengthen its neuroscience pipeline in areas such as schizophrenia, Parkinson's disease, and mood disorders. However, Emraclidine, one of its key candidates, failed to meet expectations in clinical trials, resulting in approximately $4.476 billion in pre-tax impairment charges. AbbVie wrote down the value of Emraclidine but has maintained Cerevel's overall pipeline and continues to pursue its neuroscience expansion strategy.

3-3. Allergan Acquisition

In 2020, AbbVie acquired Allergan for approximately $63 billion, securing aesthetics, neuroscience, and ophthalmology assets such as Botox and Juvederm. During the acquisition process, AbbVie divested Brazikumab, Zenpep, and Viokace to address antitrust regulatory requirements, and certain underperforming assets such as Resonic and Durysta resulted in approximately $847 million in pre-tax impairment charges in 2025. AbbVie subsequently retained Allergan's core assets while restructuring non-core assets through divestitures, reductions, and impairment charges.

* Impairment Charge : An amount recognized as an expense by reducing the book value of an asset when its value is determined to have declined.

4. New Growth Initiatives

4-1. Next-Generation Immunology Business: Centered on **Skyrizi and Rinvoq** / **Apogee** Acquisition

First, AbbVie is reshaping its immunology portfolio after Humira. Its former flagship product, Humira, is declining due to biosimilar competition, with Humira revenue of $688M in Q1 2026, down 38.6% year over year. In contrast, Skyrizi recorded $4.48B, up 30.9%, and Rinvoq recorded $2.119B, up 23.3%, establishing themselves as core growth products after Humira.

The current approach is the expansion of indications for existing products and the acquisition of external pipelines. As of Q1 2026, AbbVie had submitted FDA applications for Skyrizi's subcutaneous induction therapy for Crohn's disease and Rinvoq's new indication for severe alopecia areata, and announced that both clinical trials met their primary endpoints. In addition, in June 2026, AbbVie announced an agreement to acquire Apogee Therapeutics for approximately $10.9B, aiming to add pipelines for type 2 inflammatory diseases such as atopic dermatitis and asthma.

In terms of revenue, total immunology revenue in Q1 2026 was $7.290B, up 16.4% year over year, showing a structure in which Skyrizi and Rinvoq are offsetting the decline in Humira. However, because the Apogee acquisition has not yet been completed, the performance of that pipeline should be viewed as still in the planning stage.

4-2. Neuroscience Business Expansion**: Vraylar and Botox Therapeutic / Cerevel, Aliada, and Gilgamesh**

Second, AbbVie is expanding its neuroscience business. AbbVie is growing its neuroscience revenue based on existing products such as Vraylar, Botox Therapeutic, Ubrelvy, Qulipta, and Vyalev, and its neuroscience revenue in Q1 2026 was $2.875B, up 26.0% year over year. In detail, Botox Therapeutic recorded $1.009B, up 16.5%; Vraylar recorded $905M, up 18.4%; Ubrelvy recorded $339M, up 41.4%; Qulipta recorded $296M, up 53.6%; and Vyalev recorded $201M.

The approach is growth in commercialized products and large-scale pipeline acquisitions. AbbVie completed the acquisition of Cerevel Therapeutics in 2024, securing pipelines for schizophrenia, Parkinson's disease, and mood disorders. Through the acquisition of Aliada Therapeutics in 2024, it also secured the Alzheimer's candidate ALIA-1758 and blood-brain barrier crossing technology. In 2025, it also completed the acquisition of Gilgamesh's depression candidate bretisilocin.

Revenue from existing commercialized products is being achieved sufficiently. In particular, the neuroscience segment recorded 26.0% growth in Q1 2026, the highest growth rate among AbbVie's major business segments. However, because Emraclidine, one of Cerevel's key candidates, failed in clinical trials and resulted in impairment charges, it is accurate to view AbbVie's neuroscience acquisition strategy as partially successful and partially unsuccessful.

4-3. ADC-Based Oncology Business: Centered on **ImmunoGen** and **Elahere**

Third, AbbVie is expanding its oncology business based on ***ADCs**, or Antibody-Drug Conjugates. AbbVie completed the acquisition of ImmunoGen in 2024, securing the ovarian cancer treatment Elahere and an ADC pipeline. The company described the ImmunoGen acquisition as a transaction intended to expand AbbVie's oncology pipeline and generate long-term revenue growth.

The current approach is revenue generation from approved products, indication expansion, and development of follow-on ADCs. Elahere was incorporated into AbbVie's portfolio as a treatment for folate receptor-alpha positive platinum-resistant ovarian cancer, and ImmunoGen's follow-on ADC pipeline was presented as an asset with potential expansion into solid tumors and hematologic cancers. As of Q1 2026, Elahere revenue was $198M, up 10.7% year over year, while total oncology revenue was $1.631B.

From a commercialization perspective, it is already generating revenue, so it is in an initial achievement stage. However, total oncology revenue in Q1 2026 was not showing strong growth, at -0.2% reported and +3.0% operational year over year, and the key issue is how much Venclexta and Elahere can offset the decline in Imbruvica. Therefore, the ADC business is moving in the intended direction, but it has not yet been fully proven as a major growth driver.

* ADC: Targeted cancer therapy

5. Revenue and Profit Structure

5-1. Revenue Source

Current earnings are mainly generated from:

1. Immunology product revenue centered on Skyrizi and Rinvoq

2. Neuroscience product revenue centered on Botox Therapeutic, Vraylar, Ubrelvy, and Qulipta

3. Aesthetics product revenue from products such as Botox Cosmetic and Juvederm

In particular, as of Q1 2026, Skyrizi recorded revenue of $4.483B and Rinvoq recorded revenue of $2.119B, making them key profit drivers that are actually replacing the decline in Humira. The neuroscience segment is also expanding its earnings base, with Q1 2026 revenue of $2.875B, up 26.0% year over year.

5-2. Efforts to Increase Revenue

1) Expansion of Skyrizi and Rinvoq Indications

AbbVie is expanding the indications for already marketed products such as Skyrizi and Rinvoq so that they can be used for more autoimmune diseases. This has the advantage of leveraging the clinical and commercial foundation of existing approved products rather than developing entirely new drugs from scratch. As a result, AbbVie is pursuing a strategy to increase revenue and earnings by entering broader markets such as psoriasis, Crohn's disease, ulcerative colitis, and arthritis with the same products.

2) Growth of the Neuroscience Product Portfolio

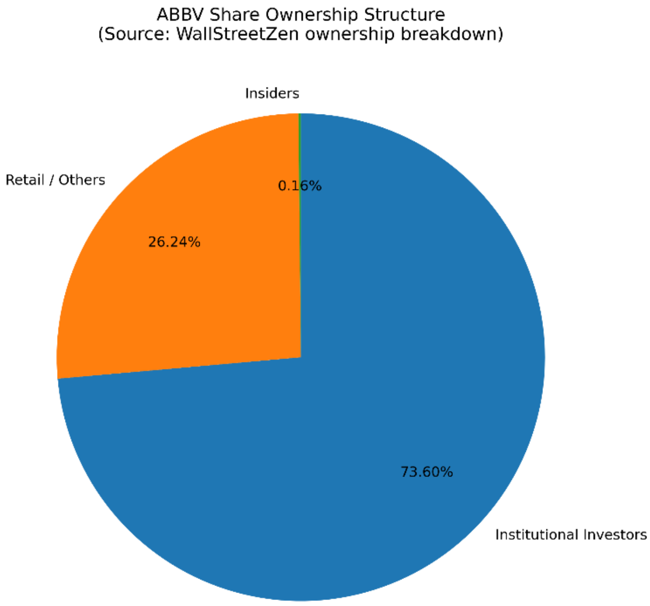
ABBV is expanding revenue in its neuroscience segment, centered on Botox Therapeutic, Vraylar, Ubrelvy, and Qulipta. As of Q1 2026, this segment generated revenue of $2.875B, up 26.0% year over year, increasing its actual contribution to earnings. Rather than relying only on immunology, ABBV is broadening its revenue sources into areas such as psychiatric disorders, migraine, therapeutic Botox, and Parkinson's disease.

3) SG&A Cost Efficiency

ABBV is managing SG&A expenses, marketing costs, and acquisition integration costs so that a larger portion of revenue remains as operating income. In 2025, SG&A was $14.010B, down from $14.752B in 2024, and its ratio to revenue also declined. In other words, ABBV's strategy is not only to increase revenue but also to improve its operating margin by controlling cost growth.

6. Ownership Structure and Financial Health

6-1. Investor Ratio



[Investor Ratio]

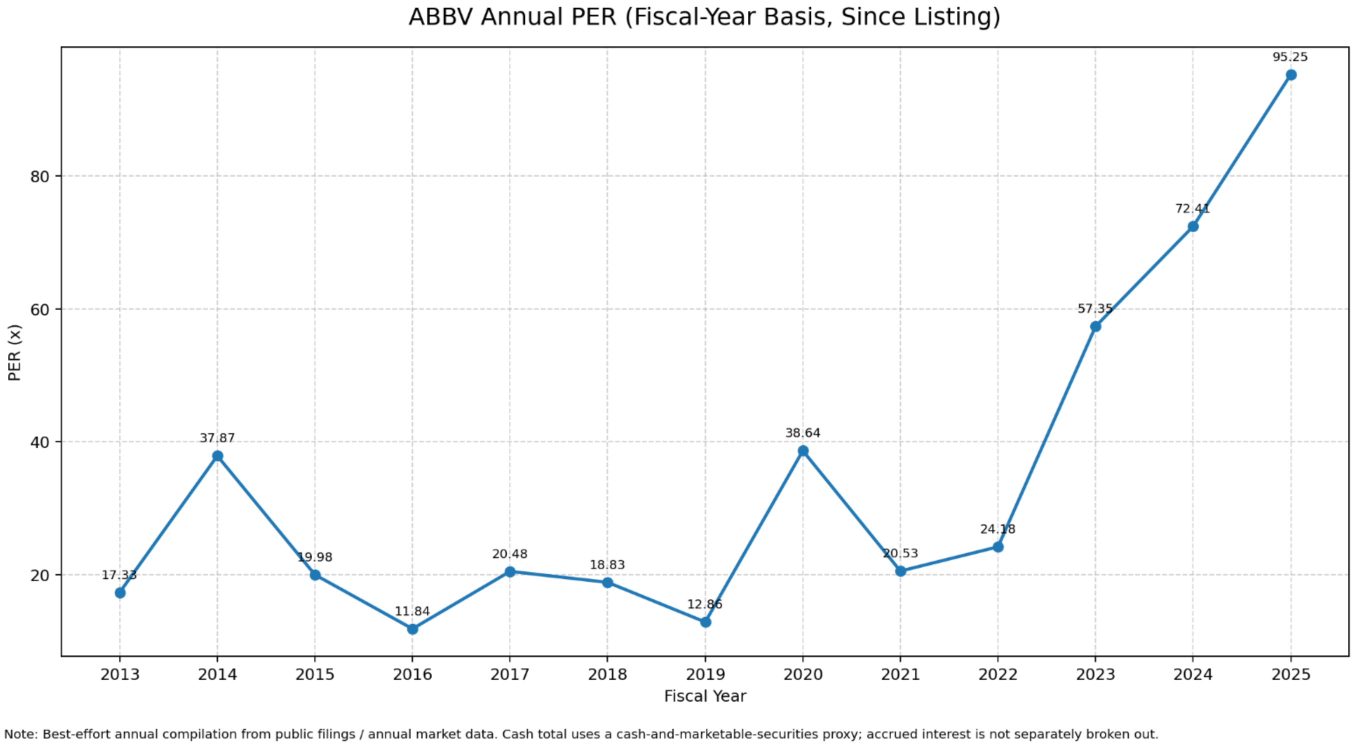
According to WallStreetZen, the ownership structure consists of 73.60% institutional investors, 0.16% insiders, and 26.24% retail and other investors. ABBV is a large-cap pharmaceutical stock centered on institutional investors, and because it is a U.S. large-cap, healthcare, dividend, and index constituent stock, a structurally large amount of institutional capital is invested in it. In particular, a significant portion of the shares held by Vanguard, BlackRock, and State Street is included in portfolios due to ETF and index-tracking demand rather than active investment decisions.

6-2. Financial Statement Health

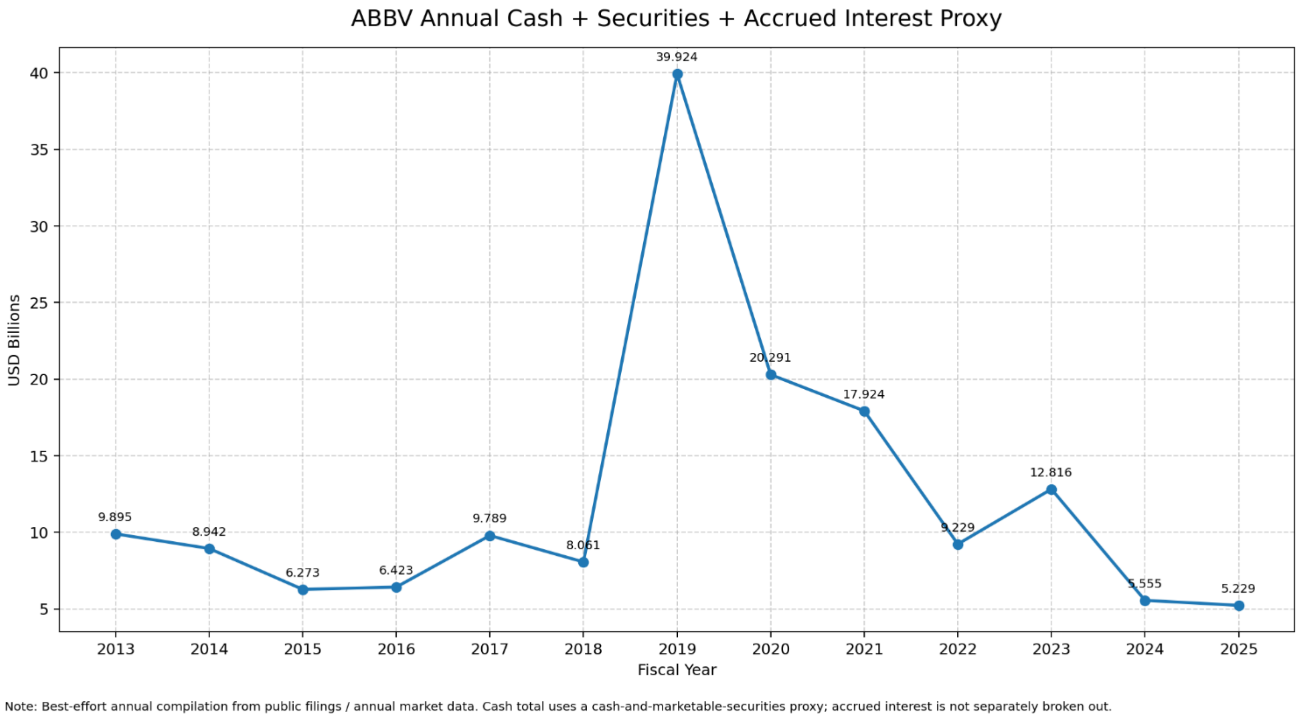
ABBV's financial statement health is characterized by strong cash generation but also a high debt burden. As of 2025, cash and cash equivalents were approximately $5.2B, while long-term debt was approximately $58.9B, leaving the company in a significantly negative net cash position. This is because a large amount of debt remains after the 2020 Allergan acquisition, which is a burden from a financial stability perspective.

However, operating cash flow in 2025 was approximately $19.0B, indicating that ABBV maintains sufficient cash generation capacity to handle debt repayment and dividend payments. Therefore, ABBV should not be viewed as a debt-free or net-cash company, but rather as a company that manages its debt through strong cash flow

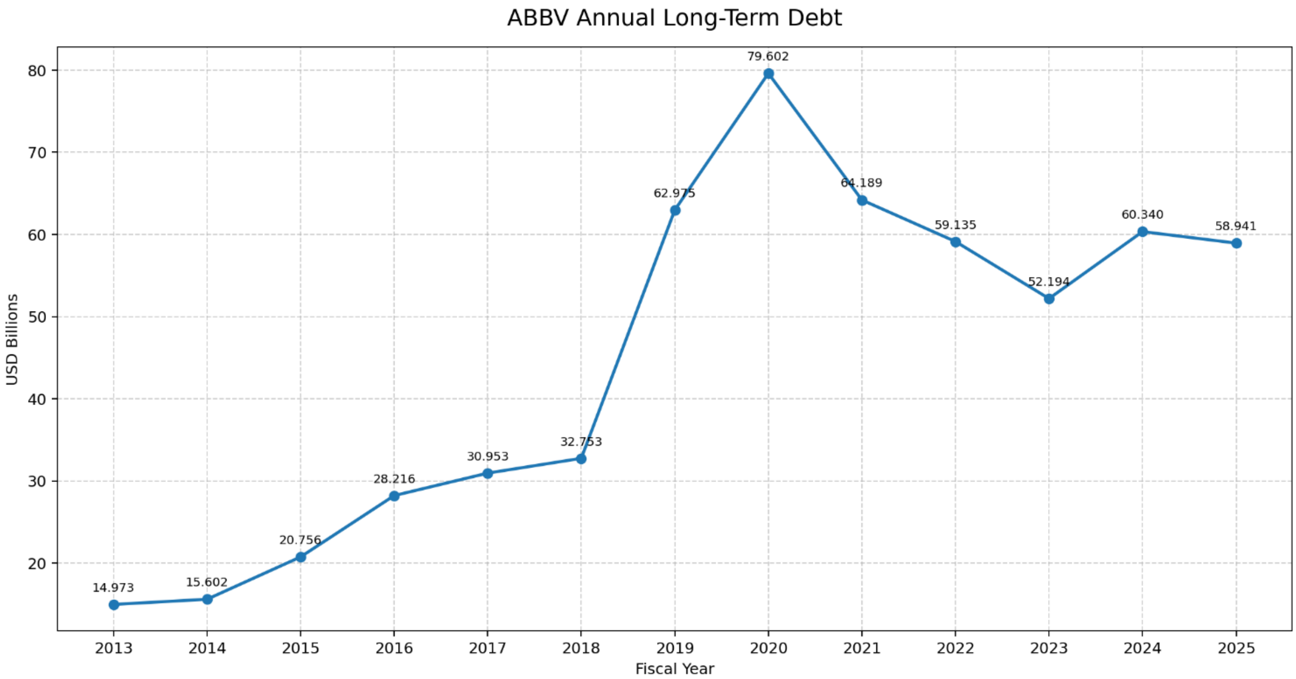
.7. Key Financial Metrics



[Price Earnings Ratio]

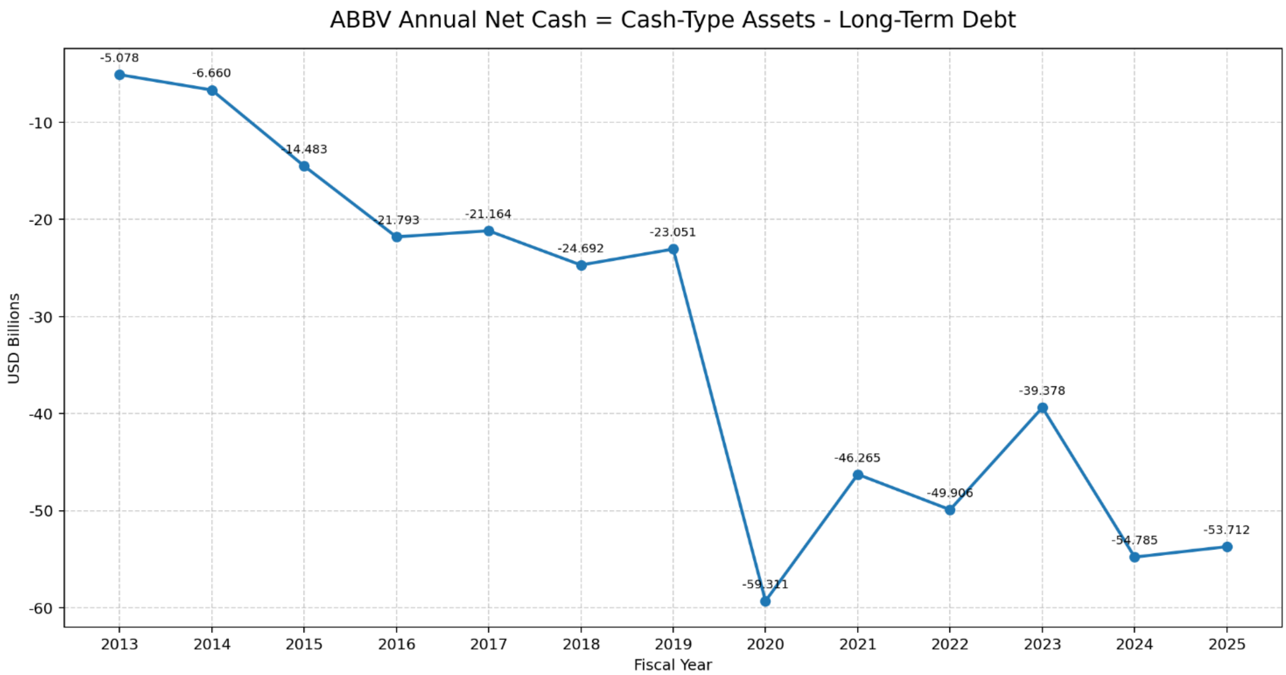


[Total Cash and Cash Equivalents]



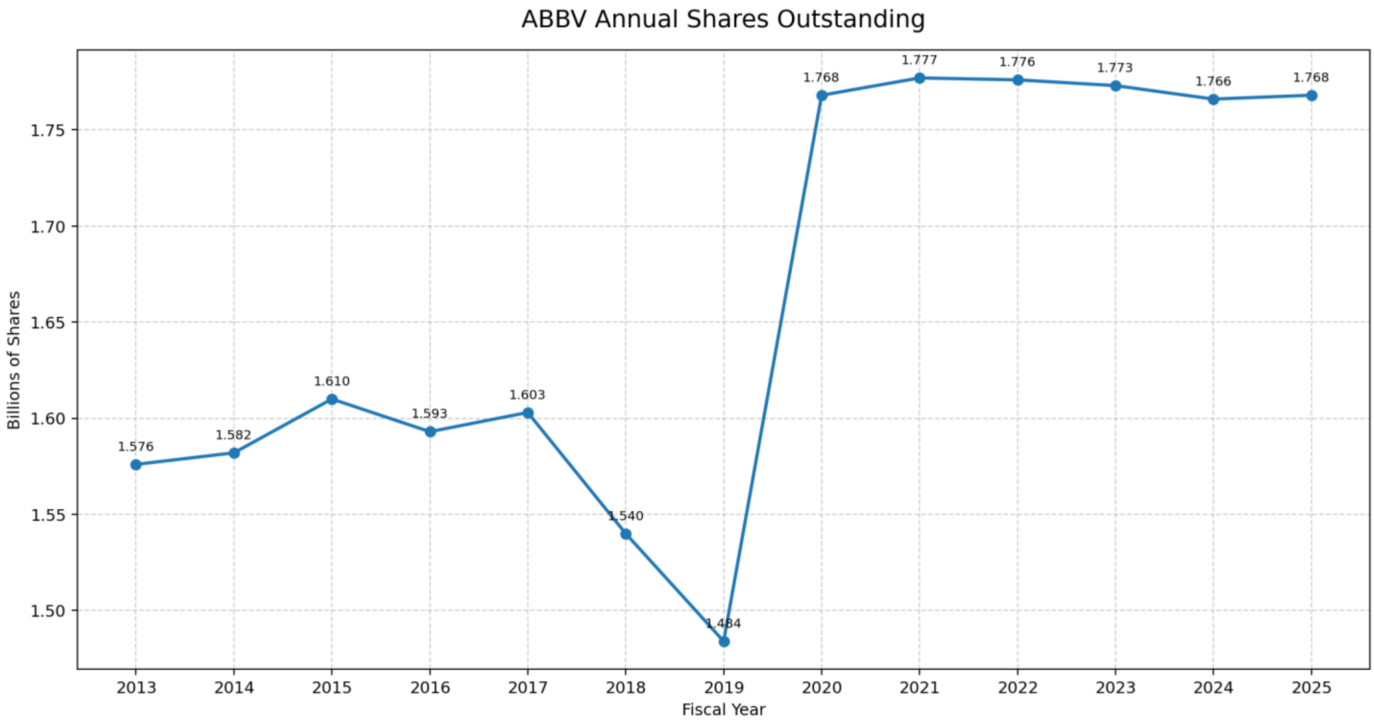
Note: Best-effort annual compilation from public filings / annual market data. Cash total uses a cash-and-marketable-securities proxy; accrued interest is not separately broken out.

[Long-Term Debt]



Note: Best-effort annual compilation from public filings / annual market data. Cash total uses a cash-and-marketable-securities proxy; accrued interest is not separately broken out.

[Net Cash]



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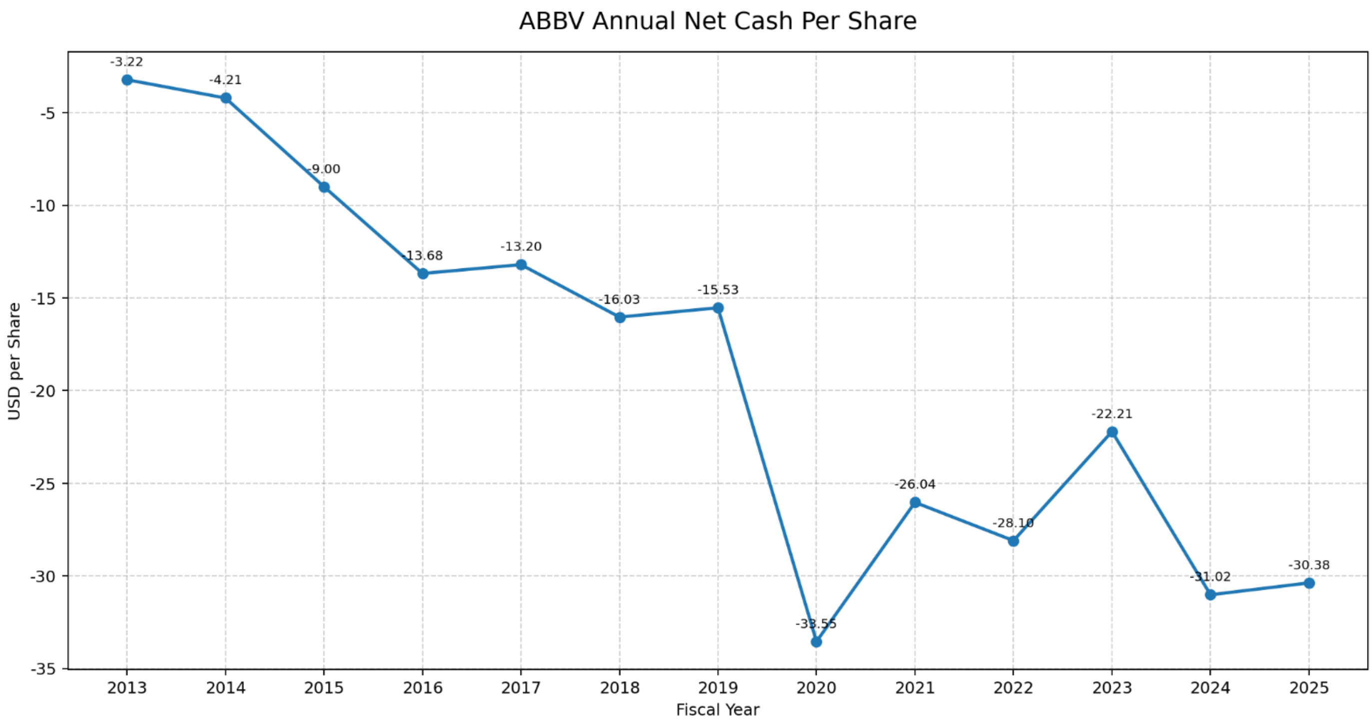
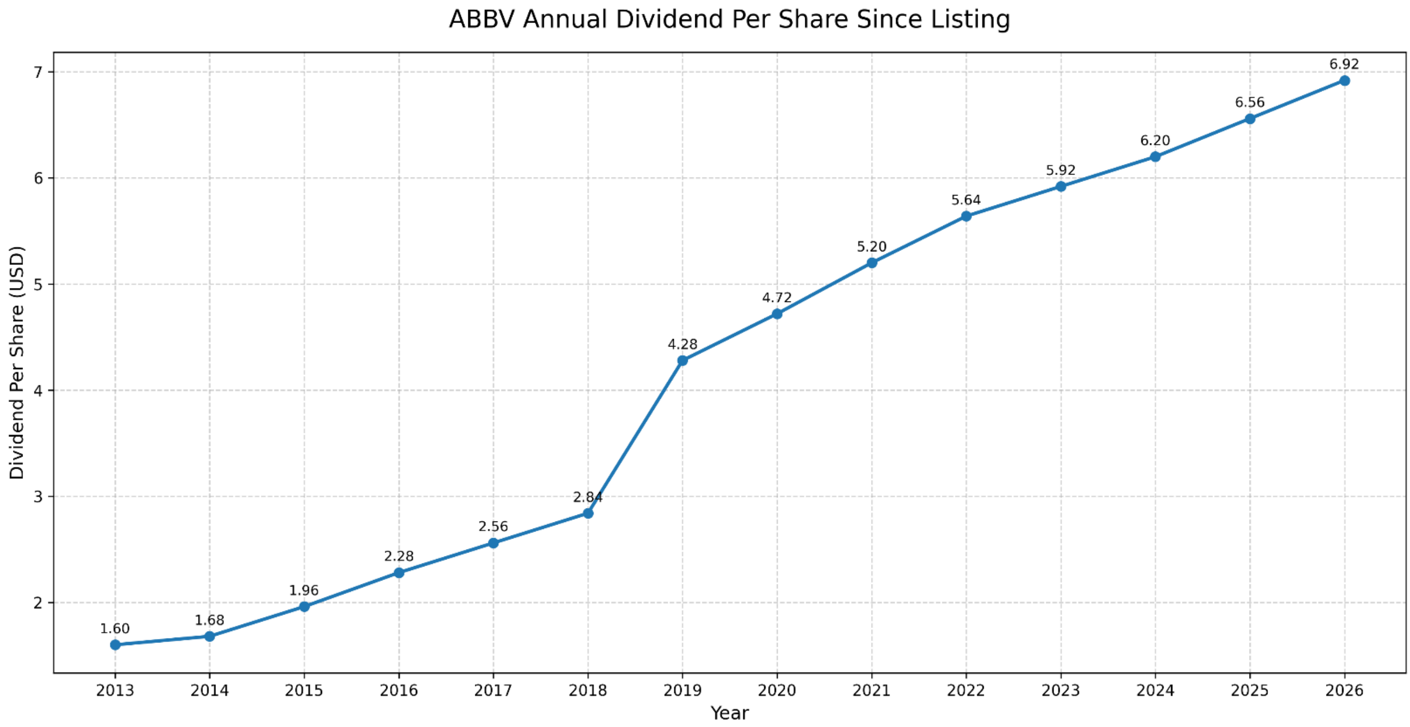
[Total Shares Outstanding]



Note: Best-effort annual compilation from public filings / annual market data. Cash total uses a cash-and-marketable-securities proxy; accrued interest is not separately broken out.

[Net Cash per Share]



Note: Regular annual dividend per share. 2026 is annualized from the current quarterly dividend rate.

[Dividend per Share]

8. Final Investment Analysis

8-1. Merit

1. **Steady Dividend Growth**

Total dividends in 2025 were $6.56 per share, and starting in 2026, the quarterly dividend was increased from $1.64 to $1.73, or by approximately 5.5%. The annualized dividend for 2026 is $6.92, and based on the current share price of $252.74, the dividend yield is approximately 2.74%, which is relatively high. In other words, ABBV shows a trend of moderate growth and steady dividend increases.

2. **Revenue Materialization**

In Q1 2026, total revenue was $15.002B, up 12.4%, while Immunology revenue grew 16.1% and Neuroscience revenue grew 26.0%. In other words, the follow-on products are sufficiently driving revenue by filling the gap left by Humira.

3. **Stable Cash Flow**

Operating cash flow in 2025 was $19.030B, which was higher than dividend payments of $11.657B. Even if short-term GAAP net income fluctuates due to impairment charges and IPR&D expenses, from an actual investment perspective, cash flow can be considered sufficient to support dividends and debt repayment.

8-2. Weakness

1. Excessive Debt

As of the end of 2025, cash and equivalents were $5.229B, short-term investments were $28M, and non-current long-term debt was $58.941B, meaning that net cash is significantly negative on a simple calculation basis. Under this structure, financial pressure could increase if rising interest rates, additional acquisitions, and new drug failures occur at the same time.

2. Possibility of Failure

Pharmaceutical stocks structurally always carry risks related to patent expirations, clinical failures, and regulatory issues. As seen in the impairment charge related to Emraclidine after the Cerevel acquisition in 2024, acquired pipelines do not always succeed. In other words, there is a possibility that the results of pipelines developed with large capital investments may not be monetized as much as expected.

8-3. Key Summary

ABBV's core characteristics are as follows.

First, it generates **steady earnings**. Despite the decline in Humira revenue, Skyrizi and Rinvoq have grown rapidly as planned and generated revenue, while the company is successfully transforming from a single-product-dependent company into an immunology-centered multi-product portfolio company.

Next, it has adopted a **capital allocation structure** that simultaneously manages dividends, acquisitions, and debt based on strong cash flow. Although it is not a net-cash company, this allows AbbVie to reinforce its pipeline through large-scale acquisitions, continue dividend payments and debt repayment through operating cash flow, and maintain a steady growth engine.

In other words, AbbVie can be summarized as

"A company that generates steady earnings based on strong cash flow".